CASCADIA ANALYTICS

Meta Platforms, Inc.

Equity Research Note | META | 21 OCTOBER 2026

The Ad Engine Has Never Been Stronger

Meta Platforms screens as a Buy with a $945.32 blended target, 36% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$694.25	$945.32	+36%	BUY

Investment Thesis

The Ad Engine Has Never Been Stronger. $59.4B ad revenue (+27%) with 14% impression growth and 12% pricing gains, both AI-driven. Family ARPP up 23.5% to $16.86 [Q2'26 10-Q]. The core business is a compounding machine. The Market Prices the Spend, Not the Returns. $31.1B quarterly capex nearly consumed all of operating cash flow. But the stock at $694.25 [Mkt 16-Oct-26] prices in 6.35% implied CAGR, below our 6.6% bear case. Pessimism is in the price. Upside If AI Pays. DCF base $948.87 implies 37% upside.

- The Ad Engine Has Never Been Stronger
- The Market Prices the Spend, Not the Returns
- Upside If AI Pays

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The latest print

The Market Prices the Spend, Not the Returns. $31.1B quarterly capex nearly consumed all of operating cash flow. But the stock at $694.25 prices in 6.35% implied CAGR, below our 6.6% bear case. Pessimism is in the price.

Upside If AI Pays. DCF base $948.87 implies 37% upside. WhatsApp paid messaging at a $2B+ run rate, Threads at 500M MAU, and MTIA custom silicon are monetization and margin levers the market is not paying for.

$60.80B	$59.36B	30.9%	$0.78B	$31.1B	3.60B
REVENUE (Q2 2026)	AD REVENUE (Q2 2026)	OP MARGIN (Q2 2026)	FREE CASH FLOW (Q2 2026)	CAPEX (Q2 2026)	FAMILY DAILY ACTIVE PEOPLE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$60.80B	+28.0%	Up
Ad Revenue (Q2 2026)	$59.36B	+27.5%	Up
Op Margin (Q2 2026)	30.9%	-12.1 pts	Down
Free Cash Flow (Q2 2026)	$0.78B	-90.8%	Down
Capex (Q2 2026)	$31.1B	+82.2%	Up
Family Daily Active People	3.60B	+3.4%	Up
FY2026 Capex Guide	$130-145B	~2x FY25	Up

The moat

AI-driven ad improvements: impressions +14%, average price per ad +12%, Family ARPP +23.5% to $16.86

The growth engine

Family of Apps scale: 3.60B daily active people; WhatsApp/Threads monetization backlog barely tapped

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Meta Platforms, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-35 CAGR	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$451.24B	40.0%	**$640.05**	-8%
Base	50%	12.5%	$619.43B	46.0%	**$948.87**	+37%
Bull	25%	16.0%	$776.95B	50.0%	**$1,243.48**	+79%

Bear: downside case at $640.05 (-8%).

Base: central case at $948.87 (+37%).

Bull: upside case at $1,243.48 (+79%).

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The probability-blended target implies 36% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +36% from the $694.25 reference price.

$945.32
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$252.66B**
Valuation horizon	**2026-2035**
Live WACC	**9.01%**
Terminal growth	**2.5%**
Net cash	**$6.60B**
2035 FCF (Base)	**$257.18B**
Beta	**1.19**
Equity risk premium	**3.4%**

BUY | $945.32 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 6.0%. below Bear case (6.6% 10-yr) — pessimistic

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$591.5B	$233.07	+10%	$2339.2B	$914.17	+30%	$8899.0B	$3,470.60
-9%	$632.2B	$248.93	+11%	$2506.3B	$979.29	+31%	$9485.2B	$3,699.06
-8%	$676.0B	$266.00	+12%	$2684.9B	$1,048.90	+32%	$10106.8B	$3,941.31
-7%	$723.1B	$284.36	+13%	$2875.7B	$1,123.27	+33%	$10765.6B	$4,198.06
-6%	$773.8B	$304.12	+14%	$3079.5B	$1,202.71	+34%	$11463.7B	$4,470.10
-5%	$828.3B	$325.38	+15%	$3297.2B	$1,287.51	+35%	$12203.0B	$4,758.22
-4%	$887.0B	$348.23	+16%	$3529.4B	$1,378.01	+36%	$12985.7B	$5,063.26
-3%	$950.0B	$372.80	+17%	$3777.1B	$1,474.55	+37%	$13814.2B	$5,386.11
-2%	$1017.8B	$399.20	+18%	$4041.2B	$1,577.49	+38%	$14690.6B	$5,727.66
-1%	$1090.5B	$427.56	+19%	$4322.8B	$1,687.20	+39%	$15617.5B	$6,088.88
+0%	$1168.7B	$458.02	+20%	$4622.7B	$1,804.09	+40%	$16597.4B	$6,470.77
+1%	$1252.6B	$490.73	+21%	$4942.1B	$1,928.57			
+2%	$1342.7B	$525.82	+22%	$5282.1B	$2,061.08			
+3%	$1439.3B	$563.47	+23%	$5643.9B	$2,202.08			
+4%	$1542.9B	$603.84	+24%	$6028.8B	$2,352.06			
+5%	$1653.9B	$647.12	+25%	$6438.0B	$2,511.52			
+6%	**$1772.9B**	**$693.50**	+26%	$6872.8B	$2,681.00			
+7%	$1900.4B	$743.17	+27%	$7334.8B	$2,861.05			
+8%	$2036.8B	$796.35	+28%	$7825.5B	$3,052.25			
+9%	$2182.9B	$853.27	+29%	$8346.3B	$3,255.22			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1,635.67B	—	2.5%	$6.60B	$1,642.26B	**$640.05**
Base	$2,428.04B	—	2.5%	$6.60B	$2,434.64B	**$948.87**
Bull	$3,183.97B	—	2.5%	$6.60B	$3,190.56B	**$1,243.48**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031	2
Bear	$696.35	$696.35	$771.13	$839.58	$903.85	$962.48	$1,015.76	$1,064
Base	$1,032.31	$1,032.31	$1,135.57	$1,233.94	$1,329.20	$1,419.62	$1,503.87	$1,582
Bull	$1,352.80	$1,352.80	$1,484.06	$1,612.65	$1,739.80	$1,863.05	$1,980.05	$2,090

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $945.32 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AI-driven ad improvements: impressions +14%, average price per ad +12%, Family ARPP +23.5% to $16.86

Family of Apps scale: 3.60B daily active people; WhatsApp/Threads monetization backlog barely tapped

Custom silicon (MTIA) roadmap stripping merchant GPU margin out of the inference cost stack

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$117.9B	$116.6B	$134.9B	$164.5B	$201.0B
Net Margin	33.4%	19.9%	29.0%	37.9%	30.1%
FCF Margin	64.7%	16.5%	32.7%	32.9%	22.9%

Valuation cross-check

P/E (fwd) 20.5x

DCF Base $948.87

PEG 0.97

DCF implies 37% upside. PEG below 1.0 suggests growth is underpriced for a 20%+ grower.

Mega-cap peer multiples not collected locally

Screened vs ad-tech and hyperscaler comps

On absolute terms Meta screens cheaper than most mega-cap AI spenders.

P/E 25.9x TTM vs 20.5x NTM

Multiple compressed as earnings outran the price

Forward multiple is modest given revenue still compounding at 20%+.

What to monitor

21 Oct 2026. Q3 2026 Earnings (Two-Sided): Consensus $63.3B revenue, ~$6.6 EPS. Guide was $61-64B; stock rallied 37% since July, so the bar is high.

2026-2027. Capex Payback Test (Two-Sided): FY26 guide $130-145B capex; Q3 capex est ~$41B with FCF est -$9.1B. Any 2027 acceleration without returns narrative tests enthusiasm.

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2027. Monetization Backlog (Positive): Threads 500M MAU, paid messaging on WhatsApp at a $2B+ run rate; click-to-message ads ~$10B.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$116.6B	$91.4B	$28.9B	$37.7B
2023	$134.9B	$108.9B	$46.8B	$59.1B
2024	$164.5B	$134.3B	$69.4B	$86.9B
2025	$201.0B	$164.8B	$83.3B	$105.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$185.7B	$60.0B	$125.7B	$14.7B
2023	$229.6B	$76.5B	$153.2B	$41.9B
2024	$276.1B	$93.4B	$182.6B	$43.9B
2025	$366.0B	$148.8B	$217.2B	$35.9B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$50.5B	$-31.2B	$-22.1B	$19.3B
2023	$71.1B	$-27.0B	$-19.5B	$44.1B
2024	$91.3B	$-37.3B	$-40.8B	$54.1B
2025	$115.8B	$-69.7B	$-20.4B	$46.1B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $945.32 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 22 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.15% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $127.53M of sales, a net flow of -$127.53M. One-year total shareholder return is -5.3% against CEO total pay of $25.13M (Mr. Mark Elliot Zuckerberg), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.15% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $127.53M (36), net -$127.53M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -5.3%; Mr. Mark Elliot Zuckerberg, Founder, Chairman & CEO, total pay $25.13M
Agency Risk Score	**22 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-12	Olivan Javier	Chief Operating Officer	SELL	1,575	$1.15M
2026-10-05	Olivan Javier	Chief Operating Officer	SELL	1,575	$1.15M
2026-09-28	Olivan Javier	Chief Operating Officer	SELL	1,575	$1.18M
2026-09-24	Zuckerberg Mark	Chief Executive Officer	SELL	27,474	$21.36M
2026-09-21	Cox Christopher K	Officer	SELL	40,000	$28.51M
2026-09-21	Olivan Javier	Chief Operating Officer	SELL	1,575	$1.07M
2026-09-15	Cox Christopher K	Officer	SELL	20,000	$13.50M
2026-09-14	Olivan Javier	Chief Operating Officer	SELL	1,575	$1.04M

SEC proxy audit, DEF 14A filed 2026-04-16

Alignment grade A. FOUNDER ONE DOLLAR BASE SALARY. Mark Zuckerberg, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$1	$0	$0	Security Program

Founder mode: symbolic salary, equity-aligned.

Mark Zuckerberg continues to receive an annual base salary of $1 with no participation in annual cash bonus programs and no additional equity grants. Total reported executive compensation for the CEO is predominantly comprised of perquisites related to his overall personal security program. Executive alignment is maintained fundamentally through his substantial controlling equity stake amid 2025 revenue expansion of 22% to $201 billion.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1326801/000162828026025532/meta-20260416.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Capex Payback

FY2026 capex guide of $130-145B, ~2x FY25, collapsed quarterly FCF 91% to $784M. If AI returns do not materialize, the buildout permanently impairs the cash machine.

Reality Labs Drain

Reality Labs lost $4.62B in Q2 alone with cumulative losses approaching $90B. The metaverse bet remains a large, open-ended drain with no return timeline.

Regulatory Overhang

A $2.4B legal-proceedings charge (linked to youth-safety litigation) plus $1.18B in severance hit Q2. Regulatory and litigation exposure remains a recurring wildcard.

The strengths

Operating Quality

The best advertising business ever built: $59.4B ad revenue at ~80% gross margins, 3.6B daily actives, AI improving both volume and pricing. ROE ~33%. Reality Labs loses ~$4.6B/quarter and drags, but the Family of Apps funds it easily.

Recent Trend

Top line is accelerating (+28% vs +22% prior year), but the mix is deteriorating: op margin compressed 43% to 31%, EPS fell 13% YoY and missed consensus by $1.01, and FCF collapsed 91% to $784M as capex doubled.

Forward Growth

Consensus sees Q3 revenue +23.6% and FY26 EPS of $27.94, with FY27 EPS at $34.39. AI monetization backlog (WhatsApp, Threads, business agents, compute rentals) is real optionality. Near-term earnings growth is muted by the capex cycle.

Valuation

DCF base $948.87 implies 37% upside at $694.25; reverse DCF prices in 6.35% CAGR, below our 6.6% bear case. NTM P/E 20.5x with PEG 0.97 is undemanding for 20%+ growth. The market prices the spend, not the returns.

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Cascadia scorecard

Composite score 73: Attractive. Confidence High, as of 16-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	The best advertising business ever built: $59.4B ad revenue at ~80% gross margins, 3.6B daily actives, AI improving both volume and pricing. ROE ~33%. Reality Labs loses ~$4.6B/quarter and drags, but the Family of Apps funds it easily.	86
Recent Trend	Top line is accelerating (+28% vs +22% prior year), but the mix is deteriorating: op margin compressed 43% to 31%, EPS fell 13% YoY and missed consensus by $1.01, and FCF collapsed 91% to $784M as capex doubled.	68
Forward Growth	Consensus sees Q3 revenue +23.6% and FY26 EPS of $27.94, with FY27 EPS at $34.39. AI monetization backlog (WhatsApp, Threads, business agents, compute rentals) is real optionality. Near-term earnings growth is muted by the capex cycle.	74
Valuation	DCF base $948.87 implies 37% upside at $694.25; reverse DCF prices in 6.35% CAGR, below our 6.6% bear case. NTM P/E 20.5x with PEG 0.97 is undemanding for 20%+ growth. The market prices the spend, not the returns.	72
Catalysts & Risk	Q3 earnings Oct 21 is the near-term event; the stock is up 37% since July on AI optimism. Key risk is the capex payback narrative: Q3 FCF expected -$9.1B, 2027 FCF possibly deeply negative. Regulatory/legal overhang persists ($2.4B charge in Q2).	62

Investment view

A Q3 beat with strong Q4 guidance and a credible capex-payback narrative would push the bull case ($1,243.48) into play. A weak print or 2027 capex acceleration without returns evidence would cut Trend and Forward Growth sharply.

Investment view: Buy. The $945.32 blended target implies +36%, balancing the $640.05 / $948.87 / $1,243.48 Bear / Base / Bull outcomes.

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